4) Describe important measures taken under liberalised trade policy after 1991.

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18.5 FOREIGN TRADE POLICY OF 2015-20

The business-friendly approach of trade policy is aimed at reinforcing the domestic industry and exposing firms in India to international competition. Along with market-friendly approach international trade is one of the priority sectors of the economy. After economic reforms the trade policy is now known as foreign trade policy. The duration of the policy is for five years (2015-2020). The policy is revised every year effective from April 1 to March 31 next year. The policy of 2015 was effective till March 31, 2020. But, due to the prevailing Covid-19 situation, it was extended twice.

***Objectives of the policy*:** The policy provides a framework for increasing exports of goods and services with the *Make in India* vision. The main objectives of the policy are to:

i) Ensure economic growth and generating employment by providing access to raw materials, components, intermediates inputs, and capital goods required for production.

ii) Strengthen agriculture, manufacturing and services sector.

iii) Incentivising exports through stakeholders who strive for achieving international standards of quality.

iv) Adopting a strategy of promoting both traditional and sunrise sectors including exports of services.

v) Simplify the process of ease of doing business by reducing transaction costs and time, thereby making Indian exports more globally competitive.

vi) Increase India's share of global trade from 2.1 percent to 3.5 percent and double exports to $900 billion by 2020.

***Salient features of the policy*:** The special features of the policy are the following:

i) Focuses on improving India's exports performance in existing markets/products and exploring new markets/products.

ii) Consolidates a range of export incentives with different eligibility criteria into two schemes:

iii) the merchandise exports from India scheme (MEIS), and

iv) Services exports from India scheme (SEIS).

v) Offers export incentives under these two schemes in the form of duty credit scrip's, which can be used by exporters to pay import duties. The scrip's are fully transferable, which means that if an exporter does not need them, they can pass them on to another.

vi) Reduces export obligation from 90to 75 percent for capital goods sourced from local manufacturers under the Export Promotion Capital Goods Scheme (EPCG). This will facilitate the import of capital goods for producing quality goods and services to enhance India's competitiveness. This scheme allows import of capital goods for pre-production, production and post-production at zero customs duty.

vii) Allows manufacturers who are "status holders" (entrepreneurs certified by the DGFT as having helped India become a major export player) to self-certify their manufactured goods as originating from India. This helps them qualify for preferential treatment under various bilateral and regional trade agreements.

viii) Promotes the paperless processing of various DGFT licenses and applications.

ix) MSMEs clusters will have focused interventions to increase exports. 108 MSMEs clusters have been identified to boost exports.

x) *Niryat Bandhu* Scheme for mentoring budding exporters through counseling, training, and outreach programs.

xi) For the optimal utilization of resources, all the stakeholders have to be in close association with, Customs, ECGC, Banks, and concerned Ministries.

xii) Duty-Free Import Authorisation (DFIA) under which duty-free import of inputs like fuel, oil, energy sources have been allowed for the production of export goods.

xiii) Round-the-Clock Customs Clearance 24*7 has been made available at 19 seaports and 17 air cargo complexes.

xiv) Single Window Interface has been launched to facilitate the easier perusal of business. Under this scheme imports are enabled to electronically lodge Integrated Declaration at a single point only with Customs. The necessary permissions are obtained from other regulatory agencies without physically approaching them. Further, a single-window system has been introduced to facilitate the export of perishable agricultural produce to reduce the costs of transportation and handling.

xv) Outlines extended incentives for SEZs in India.

xvi) Seeks to integrate the government's Make in India and Digital India initiatives.

xvii) Effort to resolve complaints and trade disputes between exporters and importers, a new chapter on 'Quality Complaints and Trade Disputes' has been incorporated into the policy.

In sum, the focus of the policy is to support both the manufacturing and services sectors, with a special emphasis on improving the 'ease of doing businesses'. It described the market and product strategy and measures required for trade promotion, infrastructure development and overall enhancement of the trade ecosystem.

Evaluation of policy (2015-2020): Country's inherent economic strengths through trade policies reforms indicate its standing as one of the most sought-after destination for foreign investments in the world. Also, technological, and infrastructural development being carried out across the country augurs well for the trade and economic sector in the years to come.

Procedural simplifications included online submission of most trade-related documents. Digital signature was also accepted. These are significant steps towards easing the formalities attached with conducting business. A few other important steps include the option of communicating via email instead of hard copies of letters, maintaining an Exporter-Importer profile and keeping electronic copies of all documents for future requirements.

On the whole, there have been wide-ranging changes in India's trade policy in a bid to lower trade costs. There are other complementary reforms, especially with regards to FDI and exchange rate.Protectionist policies notwithstanding, trade and related reforms are important for improvements in efficiency in production as well as result in welfare gains (Sengupta and Roy, 2018).

Despite having some very positive points in its favour, the policy carries some criticisms:

i) In 2019, a WTO dispute settlement panel, acting on USA's complaint, said India's export subsidy provisions violate WTO rules and must be withdrawn. These include tax incentives under the MEIS and SEIS.

ii) This aspect reinforces the growing view in India that the country needs to move away from subsidies and think of other ways to help its exporters.

iii) A prevailing belief in India is that free trade agreements (FTAs) haven't worked for it. An important example of this emerged in November 2020 when India decided to not be a part of the Regional Comprehensive Economic Partnership (RCEP), the world's largest FTA. Some economists believe that this decision deprives India a chance to be a major player in exports.

iv) There is some concern with respect to GST implementation, especially with regards to high and multiple rates of taxation and the credit for input duty and related refund.

v) The volume and rate of growth in the external sector has brought into focus physical infrastructure constraints relating to power, transport, and communications.

vi) There has been lack of full understanding of trade policy and its potential benefits, a poorly developed manufacturing sector, unsatisfactory results from regional trade agreements, and constrained relationships, including with its main trading partners.

18.5.1 Services Trade Policy

In an effort to give special support to services exports, a new scheme for encouraging service exports and permitting them the import of capital goods at concessional duty was introduced in the Export-Import Policy update in 1994. Trade in services is a growing area. In the contemporary world with the advent and growth of technology services trade has assumed tremendous importance. Services became significant in overall global trade, with the growth of international supply chains and improvements in communications and transport technology. Several services contribute to improving competitiveness, with large multiplier impact on economic activities.

Policy related to trade in services is nothing but needs complementarity to goods policy by having corresponding regulatory regime. A sound growth of trade in services requires increasing role of regulatory policies. Therefore, policies that improve the performance of services assume major importance. There are number of areas where action is required to improve services related trade policies for India.

18.5.2 Recalibrating India's Foreign Trade Policy

Against the prevailing economic, political, social and external environment, it is the time now for India to look afresh its foreign trade policy. India faces significant challenges in the area of trade policy the global economic slowdown, increasing protectionism, the stalled mega-trade deals that could in time be revived, and perhaps more important, its own domestic preoccupations.

In the context of trade policy, Singh and Kelkar (2022) have suggested that "major initiatives need to be supplemented by an institution that conducts competent research-based trade policy analysis, taking account of its overlap with investment policy and industrial policy. A specialised institution is required, similar to the US International Trade Commission (USITC) or Australia's Productivity Commission (earlier, the Industries Assistance Commission)".

This is the opportunity to revive and empower India's Tariff Commission (TC) with a new role while including a number of its previous responsibilities. For example, the TC is supposed to identify (Singh and Kelkar, 2022):

i) policy measures required to improve the competitive position of different goods and services in relation to other markets,

ii) determinants of tariffs and effective protection,

iii) implications of offers on tariffs made by India's trade partners in the context of trade negotiations, and

iv) tariff changes taking place in competing economies,

v) it should also investigate the interrelationship between, and impact of, tariff, monetary, fiscal and exchange rate policies on domestic prices,

vi) the transition period required for phasing out tariffs for select industries, and other relevant issues.

They further added that "the TC should address non-tariff measures in foreign markets, learn from the global experience for more effective ways of creating efficiencies, evolve trade policies in the context of digital trade, and the usage of artificial intelligence (AI) tools to alert GoI about problems and opportunities likely to arise in specific export markets, as well as to help with regulatory dialogues with different countries".

The proposed TC should be an integral part of India's developing trade and investment policy that makes the administration more open and integrated with world markets (Singh and Kelkar, 2022). India needs to remove trade restrictions, reduce tariffs and provide seamless connectivity at the borders to reap the trade benefits.

Various regional and sub-regional free trade agreements (FTAs) are already in place or likely to evolve. To maximize opportunities within this environment, India will have to overcome significant trade policy challenges. Globalization produces both winners and losers. India's trade policy needs to be bold and imaginative. Developments in global trade policy confront Indian policymakers with some hard choices. Trade and foreign policies must by and large be in sync. The world of trade policy requires give and take. India's trade policy framework must be supported by economic reforms that result in an open, competitive, and technologically innovative Indian economy.

The coverage and the content of trade policy has been increasing over time, which implies that the task of trade policy reform will remain a continuing one, rather a finished agenda. The existence of high trade deficit colours the perspective of both the Indian policy makers and the industry when they consider international trade policy issues. In a fast-changing trade scenario across the globe, a number of issues has emerged and they need attention of policy makers.

Policymakers must work on issues to balance both domestic and international concerns, protecting the domestic industry in critical areas with policy interventions such as the production linked incentive (PLI) and simultaneously aiming for export promotion by participating in the global value chains. The new FTP must provide policy guidance and a direction for future trade agreements. The benefits of FTAs must be strongly communicated to the industry, so that it can prepare itself for future trade deals.

Policies pertaining to export-import operations need to be fine-tuned according to the evolving global trade realities. There is a need for policy rationalisation to level the playing field under each type of manufacturing. India's domestic policy action for promoting export must be based on external requirements.

The upcoming FTP will address the challenges of emerging India through required policy interventions for green industries, start-ups, women entrepreneurs, and services sector exports. To this end, the key deliverables of the policy must be inclusive of the ambitions of an evolving India—fulfilling the growing demands of the country's agricultural, manufacturing, and services sector while also creating a multiplier effect in the economy through enhanced trade (Singh and Singh, 2021).

For India to achieve its policy objectives, the government and industry, particularly the manufacturing sector, must prepare for opportunities and greater engagement in an evolving multilateral trade arena. India's priorities should include taking policy measures to conform to global standards and supporting the WTO to prelaunch multilateral negotiations (Puri, 2017).

India needs to work on a road map that can bring its goods and services into conformity with the highest standards on technical barriers to trade; sanitary/photo sanitary rules; labeling, packaging, customs, clearance, and freight procedures; and the best or next-best environmental and labor regulations. Undertaking action is required on the part of both government and industry and related stakeholders.

Economic reform is always politically difficult, and the country still has a long way to go. More than change in policies India is struggling with change in attitude. This attitudinal change indeed constitutes a major challenge in India's reform agenda (Puri, 2017).

Singh, (2017) has emphasised that "there is a need for adopting trade policies in a coordinated manner, to simplify procedures, make them more transparent, and reduce arbitrariness. In this process, policy makers need to consider trade policy and domestic policy in an integrated manner, keeping in mind the continuing evolution of trade policy, emergence of new market conditions, and the growth of both formal and informal mechanisms which determine the opportunities and constraints in the global markets.A new approach, new institutional mechanisms and far-reaching integrated initiatives are thus needed for sustaining the momentum of growth".

18.5.3 Impact of trade policy reforms

There has been considerable improvement in foreign trade (both exports and imports), balance of payment situation, foreign investment, inwards remittances, exchange rate flexibility and foreign exchange reserves. All these resulted in improved economic efficiency, giving consumers and businesses a wider choice of final goods and intermediate inputs to purchase. This, in turn, contributed to an acceleration of economic growth and reduction in poverty.

A noteworthy feature of trade policy reform is the continuation of policy by every Government that came to power, both in the conventional areas of trade policy, as well as in the new areas of trade policy that have emerged over the last three decades. The process of reform is still not complete and there is scope to further improve the situation. This possibility becomes even more tangible and feasible when one considers the fact that there is a significant gap between the announced tariffs and the actual applied tariffs. The real effective exchange rate shows that despite the large fall in the nominal effective exchange rate, the competitive situation for India has not changed much (Singh, 2017).

It is important to note that the pace of reform has not been uniform. At times, the reform process became disquietingly slow because of various constraints. Many structural factors like geography and institutions affect long term economic development, but it is worthwhile to remember how farsighted political leadership and good economic policies can significantly influence the fate of nations. India is not alone in the world in finding these in short supply.

One important aspect of trade policy reforms in India is the pace of the reforms differed significantly across capital goods, intermediate goods and consumer goods. The reduction in protection was much more drastic and faster for capital and intermediate goods. In contrast, the consumer goods sector remained protected for much of the 1990s. Trade policy reforms have significant positive impact on productivity yardstick of manufacturing performance.

To liberalize trade, the industrial policy package involved, inter alia, the dismantling of the import licensing systems on virtually all intermediate inputs and capital goods; the lowering of tariffs by capping peak tariff rates and by rationalizing the tariff structure by reducing the number of bands; the devaluation of India's national currency— the rupee—against the dollar, and the introduction of a dual exchange rate; the gradual phasing out of heavy government intervention in the key sectors of insurance, banking, telecommunications, and infrastructure; and the piecemeal opening up of the services sector to private domestic and, increasingly, foreign investment (Alessandrini et al, 2009).

The effects of the tariff reductions on the introduction of new imported products and varieties are large and result in significant welfare gains for the economy, as measured by the decline in the exact price index. Moreover, the tariff reductions also led to the introduction of new domestic products. The intuition behind these results is straightforward: Indian businesses and policy makers had complained for years that restrictions on the imports of important inputs held back domestic production and lowered the quality of the domestically produced products. The trade liberalization relaxed these constraints. The Indian trade liberalization resulted in the import of new products and varieties that were important.

18.6 FOREIGN TRADE POLICY 2023

The Foreign Trade Policy (FTP) 2015-20 along with the initiatives of current government such as "Make in India", "Digital India" and "Skills India" to create an "Export Promotion Mission", promoted the diversification of India's exports basket by helping various sectors of the Indian economy to gain global competitiveness. FTP 2015-20 which was to end in 2020 extended due to COVID pandemic and volatile geopolitical scenario till March 2023. Policy changes were being undertaken since 2015 even without announcement of a new FTP responding dynamically to the emerging situations. The Foreign Trade Policy 2023 provided the policy continuity.

Foreign Trade Policy (2023) is based on these 4 pillars:

i) Incentive to Remission,

ii) Export promotion through collaboration - Exporters, States, Districts, Indian Missions,

iii) Ease of doing business, reduction in transaction cost and e-initiatives and

iv) Emerging Areas – E-Commerce Developing Districts as Export Hubs and streamlining SCOMET (special Chemicals, Organisms, Materials, Equipment, and Technologies) policy.

The FTP 2023 aims at process re-engineering and automation to facilitate ease of doing business for exporters. It also focuses on emerging areas like dual use high end technology items under SCOMET, facilitating e-commerce export, collaborating with States and Districts for export promotion. FTP 2023 is introducing a one-time Amnesty Scheme for exporters to close the old pending authorizations and start afresh.

The FTP 2023 encourages recognition of new towns through "Towns of Export Excellence Scheme" and exporters through "Status Holder Scheme". It is facilitating exports by streamlining the popular Advance Authorization and EPCG schemes and enabling merchanting trade from India. Reduction in fee structures and IT-based schemes will make it easier for MSMEs and others to access export benefits. FTP 2023 outlines the intent and roadmap for establishing e-commerce hubs and related elements such as payment reconciliation, book-keeping, returns policy, and export entitlements.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Point out the main features of India's foreign trade policy 2015-20.

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2) Do you think there is need for change in 2015-20 policy?

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3) In what ways foreign trade policy can be re-shaped?

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4) Should there be separate policy for services trade?

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5) List the focus areas of foreign trade policy 2023?

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18.7 LET US SUM UP

In this unit, we discussed about India's Foreign Trade policies over the years. Trade policy refers to a nation's formal set of practices, laws, regulations, and agreements that govern international trade practices, or imports and exports to foreign countries. Trade policies aim to strengthen the domestic economy. Some nations want to encourage more trade and pursue open trade policies with certain other nations, while others want to restrict trade and set policies that protect domestic industries from competition. Trade policies can have a number of benefits, including economic growth or lower costs of goods.

Trade policies can include regulations, tariffs, and quotas. More than three decades ago, India was a country with very high tariffs, multiple and complex systems of control on both imports and exports, and exchange rate controls that had created an unhealthy economic situation. Permits were not the only barrier to imports. There were high rates of tariff on goods in the late 1980s.Economic growth was slow. The growth rate prior to reforms—so-called Hindu rate of growth—was just 3 to 4 percent overall and much slower on a per capita basis.

The reform of this system initiated in 1991 marked a more transparent and less complex system, with reduced controls and established less ad-hoc policy framework, as India moved towards more open markets. External sector reforms since 1991 amongst others showed significant reductions in tariff rates and their dispersion.

India began to make changes in its economic policy from July, 1991. The SEZ Act was enacted in 2005 to re-vitalise export production. Compared to goods, services trade policy issues and related disciplines have been considered much later in time. While the trade policy covers both imports and exports, its primary objective is to facilitate trade by reducing transaction cost and time, thereby making Indian exports more globally competitive.

Earlier trade policies were for three years. However, the government for the first time introduced 5-year Export-Import Policy (EXIM) on April 1, 1992 to dismantle various protectionist and regulatory policies and to accelerate India's transition towards a globally oriented economy. It is updated every year on March 31, and the changes come into effect from April 1.

The foreign trade policy of 2015-20 made number of important changes. MEIS and there is no conditionality attached to scrip's issued under the MEIS. For grant of rewards under MEIS, the countries have been categorized into 3 Groups, whereas the rates of rewards under MEIS range from 2 percent to 5 percent. Served from India Scheme has been replaced with the Service Exports from India Scheme (SEIS). SEIS rewards to all service providers of notified services, who are providing services from India, regardless of the constitution or profile of the service provider. No conditionality attached to any scrip's issued under these schemes. Under SEIS the selected services would be rewarded at the rates of 3and 5 percent.

India has recently concluded two free trade agreements with UAE and Australia. The real challenge in India, as in several other countries, is the lack of appreciation of the benefits of trade liberalization. This is mainly because of absence of political will. The new policy is eagerly awaited as the economy continues to reel from the effects of the pandemic and disruptions to international trade caused by Russia's invasion of Ukraine worldwide.

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